

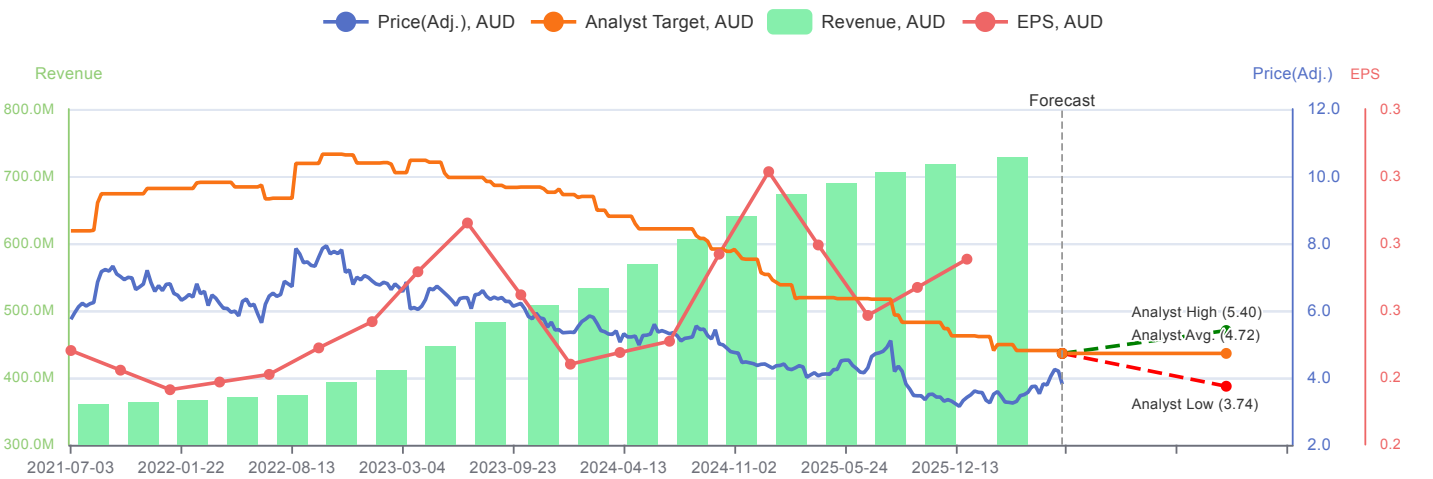
Key Indicators:

🕒 Date: Jul 4, 2026

Stock Price **\$3.87**

52-Week Range	\$3.07 - \$5.15	EPS Revisions (90d)	↑ - ↓ -	Revenue	\$728.5M
Market Cap	\$991.9M	PEG Ratio	-1.72	Revenue Forecast	\$733.4M
P/E Ratio	13.6	FCF Yield	14.1	1-Year Change	-9.76%
P/E (Fwd.)	8.00	EV / EBITDA	7.41	Div Yield	9.95%
EPS Actual	0.45	Book / Share	2.60	Div. Growth Streak	11 years
EPS Estimate	0.48	Beta (5Y)	0.14	Next Earnings	2026-08-19

5-Year Chart



Executive Summary

Warren AI

Fair Value

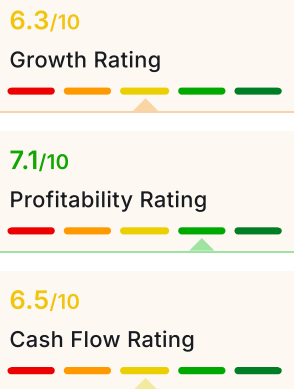
IPH Ltd (ASX:IPH) is a leading intellectual property (IP) services group operating across the Asia-Pacific region and Canada, offering patent, trademark, and design protection, commercialisation, enforcement, and management services through a network of established firms including Spruson & Ferguson, Smart & Biggar, Griffith Hack, and ROBIC.

Upside	56.0%
Fair Value	\$6.04

IPH currently trades at **\$3.87 AUD**, representing a significant discount to its fair value estimate of **\$6.04 AUD**, with a 52-week range of \$3.07–\$5.15 AUD. The company's market capitalisation has contracted materially from ~\$1.84B AUD in FY23 to approximately \$992M AUD currently, reflecting sustained share price weakness despite solid operational performance. **Revenue of \$728.5M AUD is broadly in line with the \$733M AUD forecast**, and the company reported H1 FY26 revenue growth of 6.5% and net profit growth of 10.5%, underpinned by a strong cashflow conversion ratio of 101% and a 32% increase in free cash flow.

Financial Health

From a valuation perspective, IPH appears attractively priced, with a **forward P/E of just 8.0x for FY26** and an EV/EBITDA of 7.41x — both well below historical levels. The **dividend yield stands at a compelling 9.95%**, supported by 11 consecutive years of dividend growth and 12 consecutive years of uninterrupted payments. Management has also been actively buying back shares, further enhancing shareholder returns.



The company's growth strategy has been heavily acquisition-led, particularly in Canada, where it now holds approximately 28% patent filing market share. However, *weakness in the core Australia-New Zealand market* — where US-origin patent filings fell 7.9% in FY25 and IPH's market share declined from ~35% to 32.7% — presents a structural headwind. Elevated net debt from acquisitions and integration risks also warrant monitoring.

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Analyst consensus targets a median price of **\$4.72 AUD** (high: \$5.40, low: \$3.74), with EPS forecasts of \$0.48, \$0.50, and \$0.51 AUD for FY26–FY28 respectively. Technical analysis is currently neutral overall, with moving averages bullish but technical indicators signalling a strong sell. Financial health ratings are moderate across growth (6/10), profitability (7/10), and cash flow (6/10).

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	30/06	30/06	30/06	30/06	30/06
Capitalization	\$1.8B	\$1.6B	\$1.2B	\$991.9M	\$991.9M
P/E Ratio	30.4	26.4	16.4	8.00	7.77
Div. Yield	2.51	6.26	8.63	9.95	-
Capitalization / Revenue	4.11	2.73	1.73	1.35	1.35
EV / Revenue	4.87	3.51	2.25	1.88	1.88
EV / EBITDA	15.6	11.6	8.57	6.49	6.37
EV / FCF	35.0	16.5	12.4	-	-
FCF Yield	4.87	7.43	10.1	-	-
Price / Book	3.19	2.45	1.71	1.46	-

 - Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

 Management has been aggressively buying back shares

 High shareholder yield

 Has raised its dividend for 11 consecutive years

 Impressive gross profit margins

 Pays a significant dividend to shareholders

 Has maintained dividend payments for 12 consecutive years

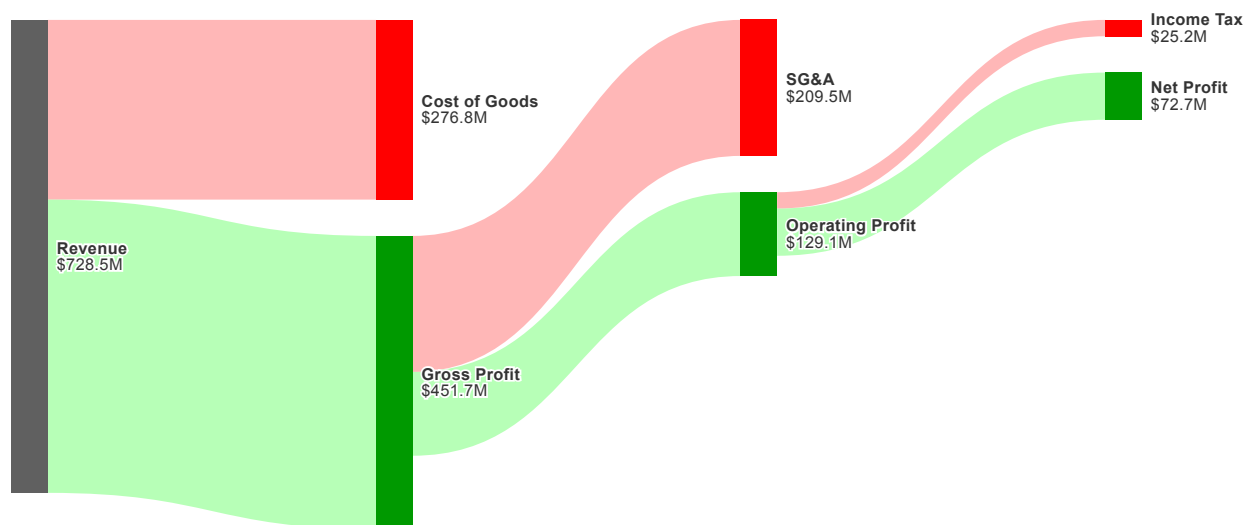
 Liquid assets exceed short term obligations

 Strong return over the last three months

 Analysts predict the company will be profitable this year

 Profitable over the last twelve months

Y LTM Financials:



* Income Statement is based on LTM data from 2024-12-31 to 2025-12-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	374.3	482.9	605.6	706.2	728.5
Operating Income	84.4	108.5	124.5	123.0	129.1
Net Income to Stockholders	52.6	64.5	60.8	68.8	72.7
Shares Outstanding	218.8	234.9	247.7	260.5	256.3
Diluted EPS	0.24	0.28	0.25	0.26	0.27
EBITDA	110.5	148.8	175.5	180.7	186.4

Balance Sheet

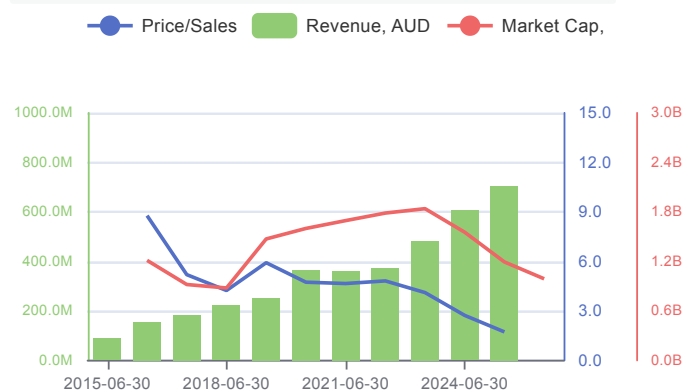
Date	2022	2023	2024	2025	LTM
Total Current Assets	197.0	278.0	275.1	277.5	264.8
Total Assets	688.4	1,185	1,313	1,350	1,284
Total Current Liabilities	70.1	86.9	99.2	102.0	93.1
Total Liabilities	258.7	607.9	679.1	651.1	605.6
Total Equity	429.7	577.1	634.3	699.4	678.8
Total Debt	161.4	441.2	491.8	474.0	439.2

Cash Flow Statement

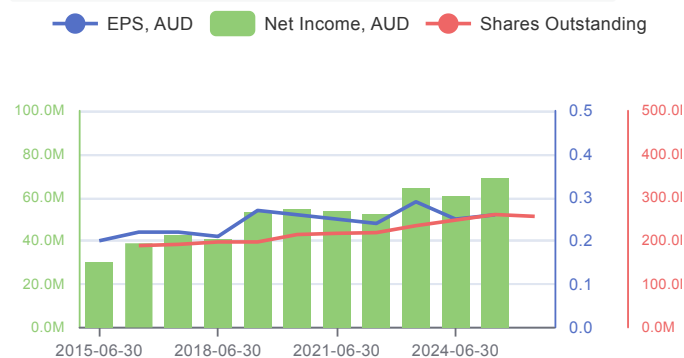
Date	2022	2023	2024	2025	LTM
Cash from Operations	94.9	91.8	131.9	133.7	143.8
Cash from Investing	-12.2	-281.6	-140.6	-70.4	-14.5
Cash from Financing	-68.7	199.5	-11.3	-83.1	-172.9
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In AUD millions, except number of shares, which are reflected in thousands, and per share amounts.

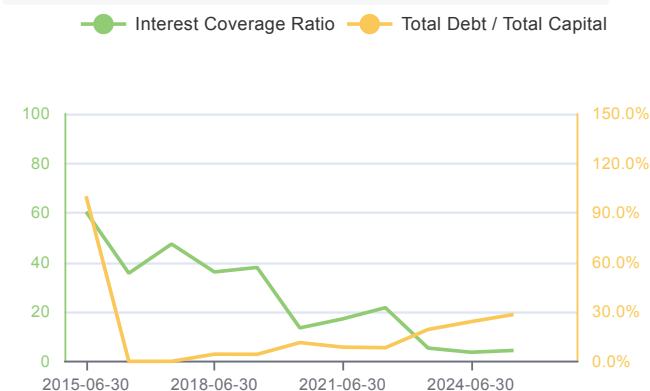
Revenue, Market Cap, Price/sales



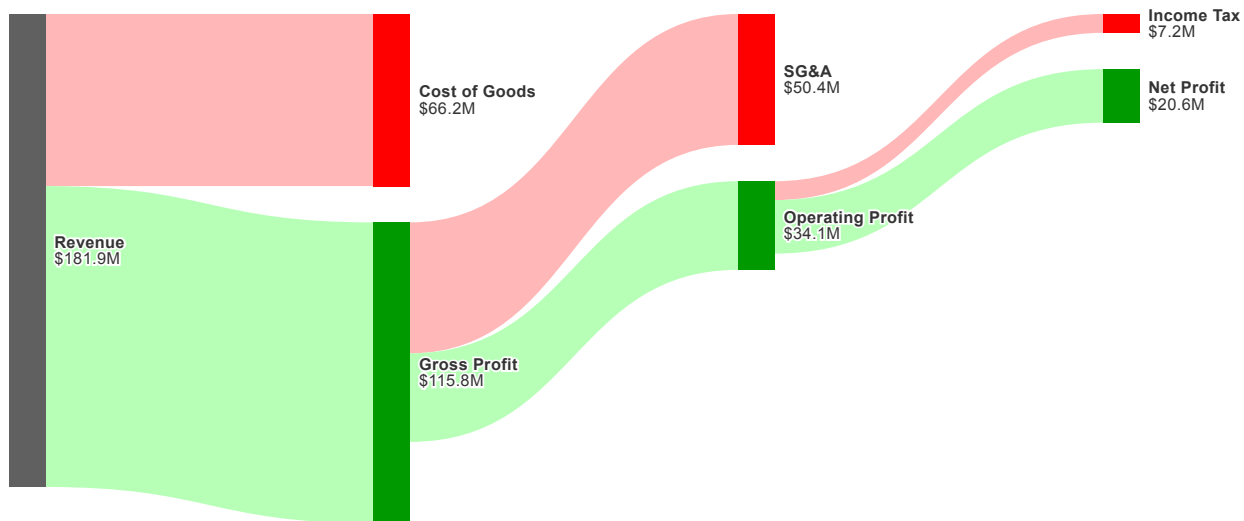
Net Income, EPS, Shares



Leverage and Debt



Q2 Financials



* Income Statement is based on LTM data from 2025-12-31

Income Statement

Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Revenue	170.8	182.3	182.3	181.9	181.9
Operating Income	31.1	30.4	30.4	34.1	34.1
Net Income to Stockholders	18.6	15.8	15.8	20.6	20.6
Shares Outstanding	273.5	269.3	260.5	261.5	261.5
Diluted EPS	0.07	0.06	0.06	0.08	0.08
EBITDA	48.6	41.7	41.7	51.5	51.5

Balance Sheet

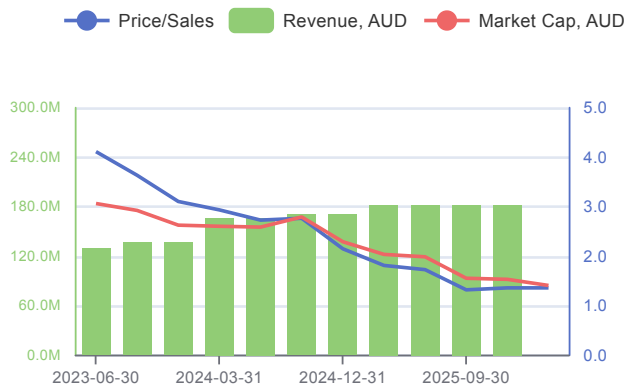
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Total Current Assets	323.7	277.5	277.5	264.8	264.8
Total Assets	1,435	1,350	1,350	1,284	1,284
Total Current Liabilities	110.0	102.0	102.0	93.1	93.1
Total Liabilities	659.7	651.1	651.1	605.6	605.6
Total Equity	776.0	699.4	699.4	678.8	678.8
Total Debt	458.9	474.0	474.0	439.2	439.2

Cash Flow Statement

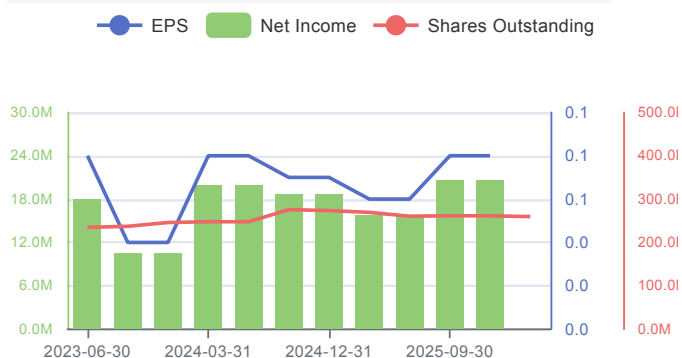
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Cash from Operations	30.4	36.5	36.5	35.5	35.5
Cash from Investing	-28.9	-6.2	-6.2	-1.0	-1.0
Cash from Financing	6.7	-48.2	-48.2	-38.2	-38.2
Levered Free Cash Flow	0.0	0.0	0.0	0.0	34.8

*In AUD millions, except number of shares, which are reflected in thousands, and per share amounts.

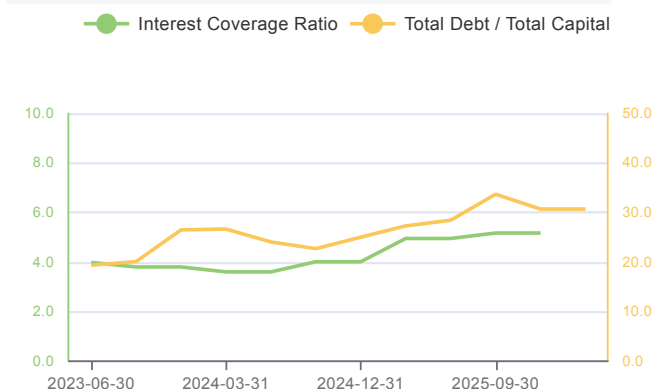
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

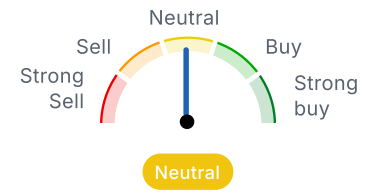
Price Momentum

Metric	IPH	Percentile	Score
Price % of 52 Week High	73.0%	39.4%	2.0
1 Week Price Total Return	-1.1%	42.8%	2.1
2 Week Price Total Return	-10.3%	12.6%	0.6
3 Week Price Total Return	-11.3%	14.3%	0.7
1 Month Price Total Return	-3.3%	60.4%	3.0
3 Month Price Total Return	14.3%	78.0%	3.9
6 Month Price Total Return	10.3%	64.2%	3.2
1 Year Price Total Return	-12.5%	23.1%	1.2
2 Year Price Total Return	-29.6%	20.1%	1.0
3 Year Price Total Return	-41.0%	19.4%	1.0
4 Year Price Total Return	-41.5%	23.0%	1.2
5 Year Price Total Return	-34.4%	28.6%	1.4

Peers

	MMS	CPU
	56.3%	93.2%
	2.2%	3.7%
	0.0%	4.2%
	-10.5%	3.8%
	-7.3%	9.9%
	-10.1%	35.0%
	-34.9%	14.0%
	-21.3%	-0.4%
	-32.4%	53.1%
	-31.1%	78.0%
	-6.6%	72.1%
	-30.8%	162.5%

Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	IPH	MMS	CPU
Market Cap	\$991.9M	\$2.9B	\$22.8B
Price % of 52 Week High	68.4%	55.8%	93.2%
Div Yield	9.95%	2.37%	2.61%
Beta	0.14	0.60	-0.02
1 Year Return	-9.76%	-21.3%	2.17%

Growth Metrics

Metric	IPH	MMS	CPU
Revenue Growth	8.13%	-1.44%	3.34%
Revenue CAGR (5y)	14.1%	9.43%	6.49%
Net Income Growth	-5.71%	24.4%	12.0%
Net Income CAGR (5y)	4.67%	8.26%	21.1%
Revenue Forecast CAGR (5y)	1.43%	1.64%	2.73%
Net Income Forecast CAGR (5y)	13.9%	10.3%	10.7%

Financial Statement Metrics

Metric	IPH	MMS	CPU
Revenue	\$728.5M	\$5.3B	\$3.2B
Gross Profit	\$451.7M	\$1.4B	\$896.1M
Operating Income	\$129.1M	\$583.2M	\$896.1M
Gross Profit Margin	62.0	25.5	28.1
Net Income to Common	\$72.7M	\$373.3M	\$597.6M
ROE	9.99	22.2	28.7
ROI	8.23	13.2	15.9
ROA	5.35	8.85	11.8
Total Assets	\$1.3B	\$4.2B	\$5.1B
Total Debt	\$439.2M	\$1.6B	\$1.9B

Valuation Metrics

Metric	IPH	MMS	CPU
P/E Ratio (LTM)	13.6	7.85	26.5
PEG Ratio	-1.72	0.24	1.91
Price / Book	1.46	1.73	7.04
Price / LTM Sales	1.36	0.55	4.96
Analyst Upside	26.6%	88.3%	-1.45%
Fair Value Upside	56.0%	5,376.0%	-106.0%

Latest Insights

WarrenAI

Bull Case

- IPH trades at a substantial discount to its fair value of \$6.04 AUD at the current price of \$3.87 AUD, with forward P/E compressing to just 8.0x in FY26 and 7.77x in FY27, suggesting meaningful re-rating potential as earnings are realised.
- The company delivered strong H1 FY26 results including 6.5% revenue growth, 10.5% net profit growth, 101% cash conversion, and a 32% increase in free cash flow, demonstrating operational resilience despite share price weakness.
- IPH's 9.95% dividend yield, backed by 11 consecutive years of dividend growth and active share buybacks, provides exceptional total shareholder yield that is difficult to replicate in the current market.
- Strategic Canadian acquisitions — including Smart & Biggar ('22), Ridout & Maybee ('23), ROBIC ('23), and Bereskin & Parr ('24) — have made IPH the leading IP firm in Canada with ~28% patent filing market share, diversifying away from the mature ANZ market.
- The global IP services market is forecast to grow at a CAGR of 6.2%–8.1%, reaching \$9.59B–\$11.3B by 2030–2035, providing a structural tailwind for IPH as the region's largest IP services group.

Bear Case

- IPH's ANZ market share declined from ~35% in FY24 to 32.7% in FY25, with US-origin Australian patent filings falling 7.9% and some brands experiencing double-digit filing declines, signalling structural deterioration in the core market.
- Net debt remains elevated near management's target ceiling following multiple acquisitions, limiting financial flexibility and increasing sensitivity to interest rate movements, with Morningstar flagging a 'lack of free cash' concern relative to the pace of acquisitions.
- The PEG ratio of -1.72 and a 1-year price change of -10% reflect market scepticism about growth sustainability, with technical indicators currently signalling a strong sell despite relatively attractive valuation multiples.
- Some analysts argue IPH lacks durable competitive advantages, suggesting its technology and efficiency strengths could be replicated by competitors, potentially leading to pricing pressure and client attrition over time.
- Approximately 72% of IPH's revenue is derived from patent filings, creating concentration risk tied to global R&D cycles; any economic downturn reducing innovation spending could disproportionately impact the company.

Additional Insights

- Management has been aggressively repurchasing shares alongside maintaining a 12-year dividend payment streak, signalling strong internal confidence in the business and providing a meaningful floor for shareholder returns.
- AI presents a dual dynamic for IPH: an operational opportunity through automated patent searches, document drafting, and portfolio management, but also a disruptive threat by challenging traditional IP ownership frameworks and potentially reducing demand for some human-led services.
- Valuation multiples have compressed significantly across all metrics — EV/EBITDA fell from 15.57x in FY23 to 7.41x currently, and Price/Book from 3.19x to 1.46x — suggesting the market has already priced in considerable risk, potentially creating a margin of safety for long-term investors.
- Seven analysts cover IPH with EPS forecasts of \$0.48 (FY26), \$0.50 (FY27), and \$0.51 (FY28), implying modest but consistent earnings growth; the consensus median target of \$4.72 AUD represents ~22% upside from the current price of \$3.87 AUD.
- IPH operates across 26 IP jurisdictions, exposing it to regulatory changes, geopolitical risks, and foreign exchange fluctuations that could impact reported earnings, particularly given the significant Canadian revenue contribution.

SWOT Analysis

WarrenAI

Strengths

- IPH is the largest IP services group in Asia-Pacific and Canada, operating across 26 jurisdictions with a broad portfolio of reputable brands, providing significant scale advantages and brand recognition.
- The business generates strong recurring cash flows with a conversion ratio exceeding 100%, supporting consistent dividend payments across 12 consecutive years and 11 years of consecutive dividend growth.
- Experienced IP professionals and long-standing client relationships create high switching costs, contributing to revenue stability and client loyalty across multinational corporations, universities, and SMEs.
- Impressive gross profit margins and a profitability rating of 7/10 reflect a structurally sound and capital-light business model with strong earnings quality.

Weaknesses

- Declining ANZ market share and falling US-origin patent filing volumes represent a structural weakness in IPH's traditional core market, with some brands experiencing double-digit filing declines in FY25.
- Elevated net debt from the rapid pace of acquisitions constrains financial flexibility and raises integration risk, with concerns about the company's track record in fully realising acquisition synergies.
- Revenue concentration risk is significant, with approximately 72% of revenue derived from patent filings, making the business vulnerable to cyclical downturns in global R&D and innovation spending.
- Some analysts contend that IPH's competitive advantages — including technology platforms and service efficiency — are replicable, potentially undermining long-term pricing power and client retention.

Opportunities

- The global IP services market is projected to grow at a CAGR of 6.2%–8.1% through 2030–2035, driven by AI, biotechnology, and software innovation, offering a substantial organic growth runway for IPH.
- Further consolidation in the fragmented IP services industry presents acquisition opportunities to expand market share, service breadth, and geographic reach beyond current core regions.
- Integration of AI and machine learning tools into IP workflows — including automated patent searches, infringement detection, and document drafting — can enhance operational efficiency and create new data-driven advisory revenue streams.
- Digital transformation of IP management platforms offers IPH the opportunity to deepen client relationships, improve service delivery, and differentiate its technology offering from traditional competitors.

Threats

- Intensifying competition from both traditional law firms and emerging legal tech players could erode IPH's market share and compress margins, particularly if competitors replicate its technology and efficiency capabilities.
- AI poses a disruptive threat by challenging traditional IP ownership and authorship frameworks, potentially reducing demand for conventional human-led IP services if IPH fails to adapt its service model effectively.
- Regulatory changes across 26 operating jurisdictions and geopolitical tensions could adversely affect cross-border IP filing volumes and introduce compliance complexity, impacting revenue and profitability.
- Foreign exchange fluctuations represent a material financial risk given IPH's significant international revenue base, particularly from Canadian and Asian operations, which could distort reported earnings.
- Economic downturns reducing global R&D spending would directly pressure patent filing volumes, disproportionately affecting IPH given its high revenue concentration in this segment.

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